Economics

DBS Flash

India: Assessing the impact from the Middle East conflict

Economics/Growth

DBS Group Research

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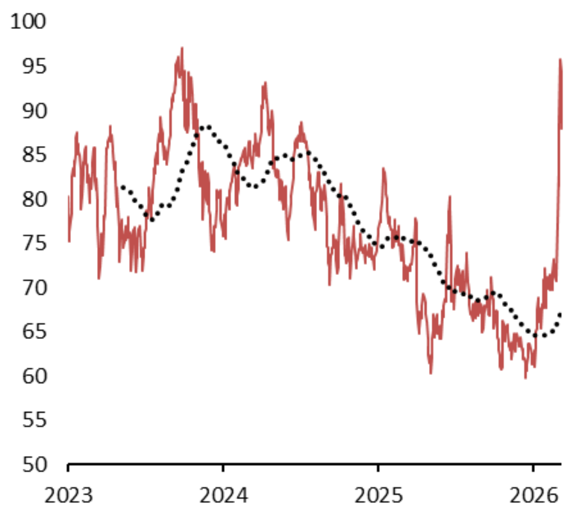
- *Oil prices have soared in recent weeks*
- *We see three channels of impact for India – risk sentiment, energy pricing, and economic activity.*
- *VIX is off highs but still elevated by historical comparisons.*
- *Along with crude oil, energy dependency extends to natural gas and LPG supplies from the region.*
- *We present scenarios on the economic impact, with the severity of the fallout to be dictated by duration of the conflict.*
- *Implications for markets: We expect weak risk uptake to weigh on the rupee.*
- *RBI will prefer to stay on a prolonged pause.*

Global oil benchmarks whipsawed sharply this week, book-ended by an initial rally in Brent crude to ~$120bbl before correcting sharply below $90bbl (see chart). Pullback was driven by indications from the US administration that the conflict in Iran might end soon, and that efforts are underway to step up oil supplies through waiver of selected sanctions, plans to dip into emergency stockpiles, and navy support for vessels through the Strait of Hormuz, amongst others. **At the time of writing there was lack of clarity on the direction ahead, amidst mixed messages on the duration and intensity of the conflict.**

Crude Oil: Spot Price: Brent



Source: CEIC, DBS

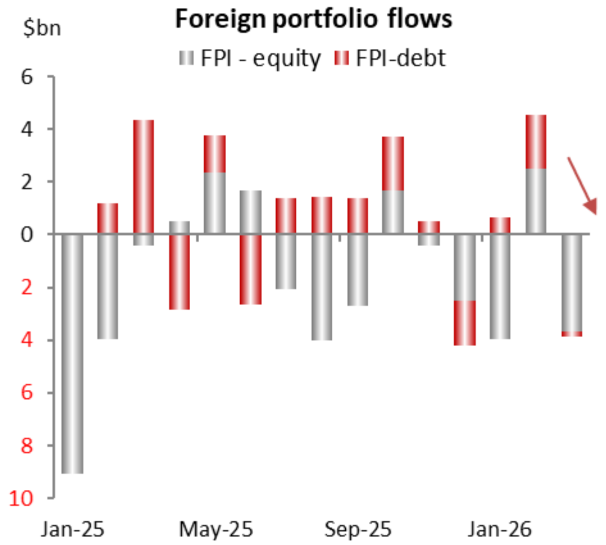
Degrees of impact from the ongoing conflict

We covered the impact on the economy from the current geopolitical risks here, here and here. There are three channels of impact for India – risk sentiment, energy pricing, and economic activity, from a prolonged war in the Middle East, with the intensity of fallout to be guided by the duration of the conflict and extent of resultant supply shocks.

Risk sentiments

India's VIX gauge remains at elevated levels, even if off highs (see chart), underscoring weak underlying risk sentiments. Domestic financial markets, including equity price action, bonds and rupee have felt the heat from the ongoing hostilities in the Middle East region. The currency had depreciated to a fresh low against the dollar, besides a tentative stabilisation in the benchmark equity indices after a sharp sell-off. After a reprieve in February, foreign flows have reversed out in March in midst of fresh geopolitical tensions (see chart).

Source: CEIC, DBS



Source: CEIC, DBS

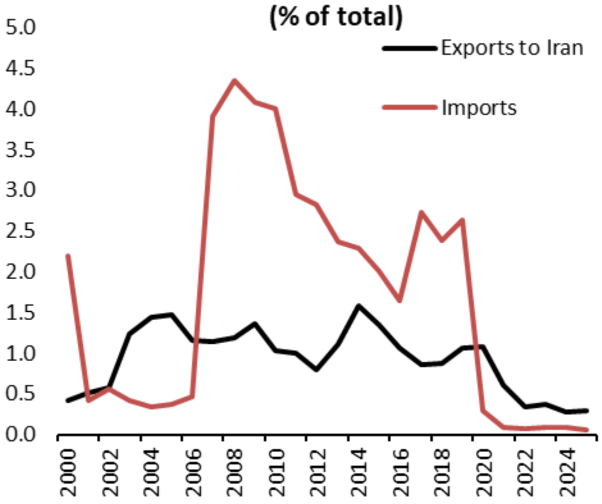
To cap yields, the RBI conducted debt purchases via open market operations (OMO) worth INR 500bn on 9-Mar helping to stabilise the bond markets and has scheduled another INR500bn for 12-Mar, ahead of heavy seasonal advance tax as well as GST related outflows due in the coming weeks. This infusion will also ease the drain from strong FX intervention and maturing FX forwards. Authorities have also been active participants in the secondary markets in February, pre-dating the conflict, to rein in yields. The cumulative and sizeable scale of purchases have amounted to nearly three-fourth of net borrowings for the year. In midst of broader risk dislocations, markets had begun to price in tighter interest rate conditions in the year ahead, though are likely to correct in the near-term.

We expect the central bank to stay on a prolonged pause on policy rates, while undertaking specific steps to ease market tensions. Outside of the geopolitical tensions, we continue to expect the rupee to underperform the regional pack, even as the broader dollar might stabilise.

Energy pricing

For a start, **India's direct trade with Iran** (led by food, pharma, animal feed exports and petroleum product imports) has diminished in the past five years owing to the long-standing US sanctions (see chart).

Share of India's goods trade with Iran (% of total)

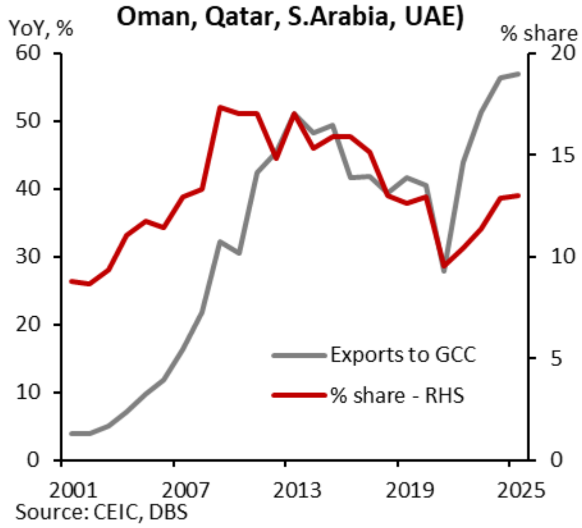


Source: Commerce Ministry, DBS

Amongst key investment commitments, India was a major partner in the development and operation of the Chabahar Port on Iran's southeastern coast, particularly to operate the Shahid Beheshti Terminal. While this investment is more strategic by nature rather than commercial, the exposure has faced the strain of sanctions by the West.

Trade linkages to the broader Middle East region remains more significant and important. Total trade with the GCC countries remains material (~15% of total trade) led by energy, machinery, gems & jewellery etc. A tenth of overseas Indians live in the UAE; ~38% of remittances. Add to this, Indians make up a big chunk of merchant shipping crew.

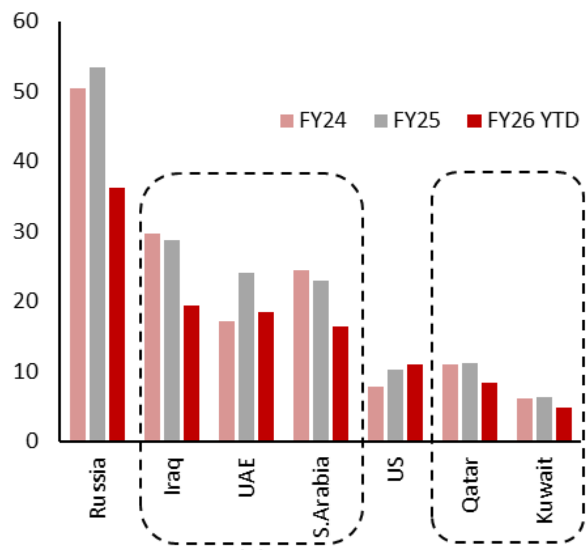
India's exports to GCC (Bahrain, Kuwait, Oman, Qatar, S.Arabia, UAE)



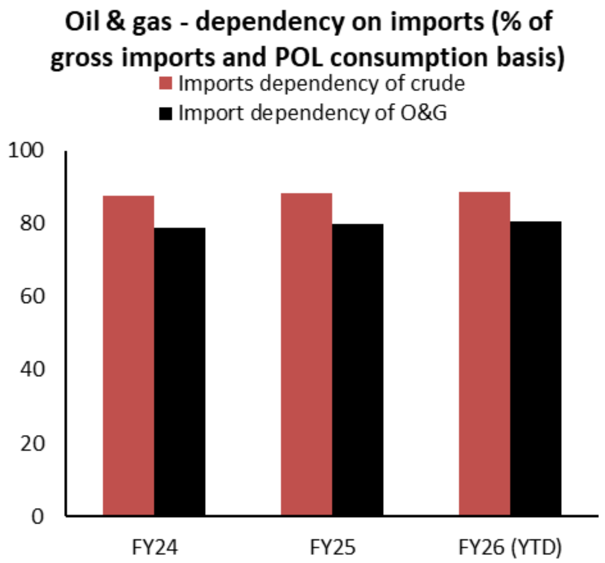
Source: CEIC, DBS

Escalation in the Middle East tensions will pose supply risks to the broader hydrocarbon trade for the country, including exposure to crude oil, LNG and LPG markets. India is the third largest oil consumer globally, with a heavy reliance on crude imports. The country imports more than 85% of crude oil supplies, of which more than 55-57% is from the Middle East countries (see chart). Around half of crude supplies, which amounts to 2.5-2.7mn/ day, travels through the Strait of Hormuz, largely from Iraq, Saudi Arabia, the UAE and Kuwait.

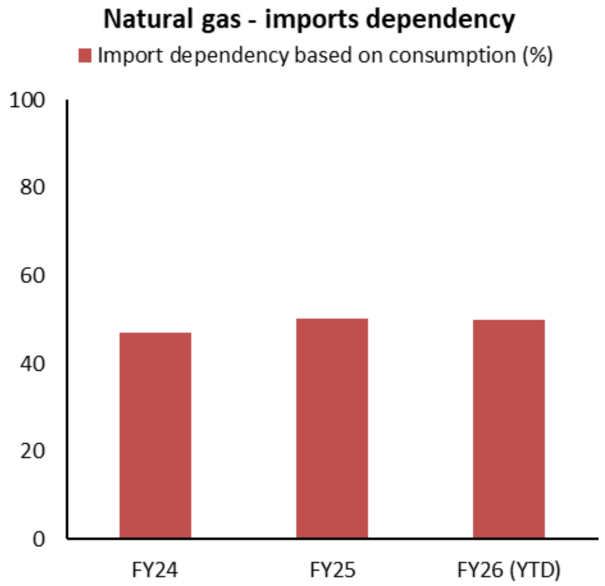
India's petroleum crude and products imports ($bn)



Source: Commerce Ministry, DBS

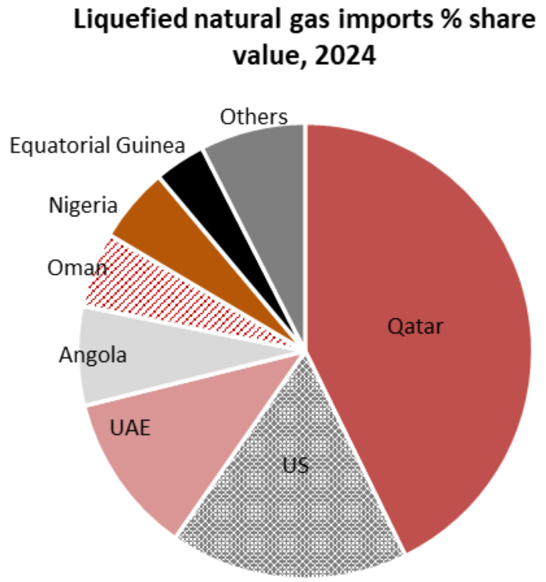


Source: PPAC, DBS



Source: PPAC, DBS

Additionally, more than 50% of the LNG is imported (see chart), two-third of which comes from the Middle east, key amongst which are supplies from Qatar. Notably, India is the world's fourth-largest buyer of LNG, with the current share of gas in the overall energy mix at a modest 6.2% (plan to increase to 15% within this decade).



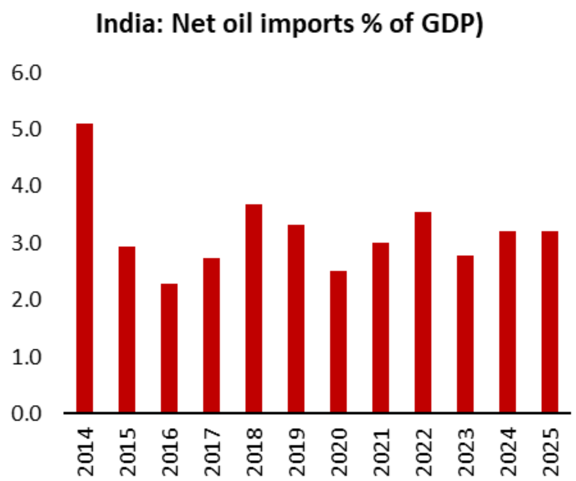
Source: CEIC, WITS, DBS

Lastly, two-third of LPG requirements are imported, which are in turn predominantly utilised by retail consumers (primarily cooking). With bulk of these resources passing by the Strait of Hormuz, indications that the vessel movements have grind to a near halt will intensify worries over the extent of stockpiles and backup inventories (LNG is most difficult to store).

On the heels of the price volatility and looming supply shortages, measures are underway domestically to balance the available stock, including prioritising household gas use while industrial consumers face potential delays/ disruptions. Several gas-related industries have also recently announced force majeure, especially those heavily reliant on imported gas volumes, including for instance petrochemical companies and refineries. Shortage in LPG supplies will largely impact retail consumers, with signs that the government has 20-25 days of inventory. **India's emergency strategic petroleum reserves,** managed by the state-run ISPRL, currently stands at ~30mn tonnes, according to officials cited by reports, with the storage is around 75-80% filled. Meanwhile, the government has reportedly no plans to join the International Energy Agency (IEA) initiative to release strategic oil reserves. To backstop supplies, the US had reportedly provided a 30-day waiver to India refiners to receive cargoes from Russia, of which oil is in afloat vessels. Indian authorities have, meanwhile, begun to seek alternate suppliers, for instance from Asia and Africa.

Economic/ macro channel – scenario analysis

The persistence and sustainability of high oil prices will play a key role in shaping the scale of the economic impact on countries. Earlier, oil markets had downplayed these risks, but they have now intensified as reports surface about infrastructure damage and delays in production in the Middle East.



Source: CEIC, DBS. Net oil import is excess of imports over exports of oil. Positive values are net importer while negative ones are net exporter of oil. EU 27 exc. UK data is for 2024.

Baseline forecasts for FY27: Outside of the geopolitical developments, positive high frequency indicators, revised GDP numbers and the court ruling on tariffs which had lowered the effective tariff on India prompted us to revise up FY27 real GDP growth to 7% (from 6.5% earlier). CPI inflation stands at 4% and current account deficit is expected to widen from an estimated -1.0% of GDP to -1.3% of GDP in FY27, factoring in moderation in service trade receipts. Encouragingly, the economy's oil intensity has reduced from the past, as signaled by the moderation in the net oil imports. As it stands, net oil imports stood at $123bn (~3.1% of GDP) in FY25.

Sensitivities: As a start, crude oil prices at $80-$85bbl will be manageable, while the economic impact will be most acute if prices average north of $100bbl for the coming months. Baseline assumption in the RBI's monetary policy report in Oct25 stood at $70bbl in second half of FY26, as global crude oil prices had exhibited a declining trend easing from $77bbl in early-Apr25 to $68bbl in Sep25. Official estimates are that a 10% increase in crude oil prices vs the baseline, and assuming full pass-through to domestic product prices, CPI inflation could turn out to be higher by ~30 bps and growth may be lower by around 15 bps. Fo the CAD, a $10bl increase could push by the shortfall by 0.35% of GDP.

Scenario analysis

Oil price	US$80/bbl	US$90/bbl	US$100/bbl
GDP (change, ppt)	-0.15	-0.25	-0.40
CPI (change, % ppt)	+0.25	+0.35	+0.5
Current account/GDP (change, % ppt)	-0.35	-0.50	-0.60

Source: RBI, press, DBS; estimates vs FY27 baseline assumptions

The extent of impact on inflation will be dictated by who picks the incremental cost burden. India had undertaken measures to reform its fuel sector by deregulating petrol and diesel prices, allowing them to align with market rates to reduce fiscal deficits and losses of the upstream oil marketing companies. This helped to lower the fiscal burden on the government's books, with total subsidies accounting to 1.2-1.3% of GDP, of which petroleum is almost negligible at less than 3% of the total. However, in the event of a sharp rise in global fuel prices, authorities are likely to be cautious about fully passing on higher costs to consumers. The need to protect household purchasing power and support businesses as well as a packed state election calendar in 1H26 may prompt a more measured approach to retail fuel price adjustments, with the initial rise likely to be absorbed by the oil marketing companies (could lower dividend contribution). As an alternate to raising retail prices, excise duty cuts might be considered (for instance INR3/l reduction will amount to ~0.1% of GDP).

BOP dynamics: As highlighted above, the current account balance is likely to face a wider energy bill, pushing up the goods import bill. Concurrently, with the region making up ~40% of total remittances, inflows under this segment faces a second order impact if the conflict prolongs. As it stands, prior to the geopolitical tensions, financing flows for the current account gap were a bigger concern than the scale of the trade balance shortfall, with this likely to remain as a key flashpoint. A concurrent reduction in portfolio flows, narrowing net FDI and offshore borrowings crimped by a rise in costs/ hedging costs could keep the overall BOP in red in FY27.

Conclusion

Geopolitical developments are fluid at this juncture, with the economic impact on India to be dictated by how the long the conflict lasts and which countries in the Middle East are engulfed in these hostilities. A lift in Strait of Hormuz blockages might help to restore supplies but with a significant lag time.

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Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research

Economics & Strategy

DBS Flash

Singapore: Assessing the risks from Middle East escalation

Economics/GDP/Inflation

DBS Group Research | March 10, 2026

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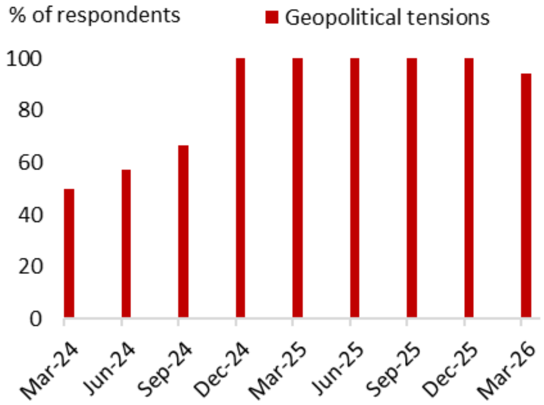
- *Singapore's economy is confronting the Middle East uncertainty from a relatively strong position.*
- *It is exposed to the global energy shock due to its status as a price taker and its high import dependency, although risks are partly mitigated by diversified supply.*
- *Direct goods exports exposure to the Middle East is limited.*
- *Oil prices remaining at ~USD100/bbl would likely lift inflation more than they would depress economic growth.*
- *Policy space is ample to tackle this shock.*

Geopolitical risks have intensified significantly in March amid the ongoing escalation of Middle East tensions sparked by US-Israeli military strikes on Iran. Global oil and gas prices have surged on the back of the Iran-centred conflict, which is already disrupting energy shipments through the Straits of Hormuz - the world's most critical energy chokepoint, with ~20% of global oil and gas flows transiting through it.

Singapore will be negatively impacted from the wider Middle East disruption. We assess the impact to be felt more through the inflation channel, given Singapore's position as a price taker that is highly dependent on energy imports. Nonetheless, the economy is confronting this uncertainty from a relatively strong position, amid solid growth momentum buoyed by global artificial intelligence-related tailwinds, still-low inflation, healthy external metrics, and ample policy space in early 2026.

Potential downside risks to the Singapore economy

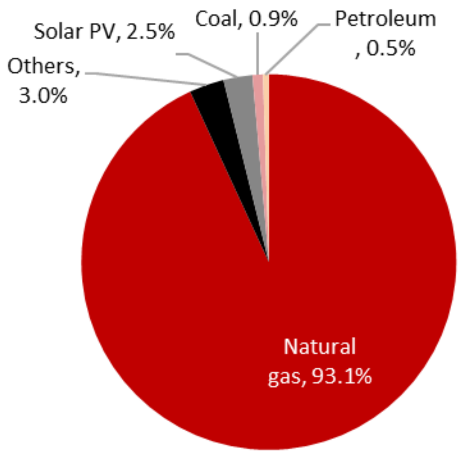


Source: MAS Survey of Professional Forecasters, DBS
Note: The chart refers to the absolute share of respondents, who have cited geopolitical tensions as a downside risk.

Energy supply and trade exposure

Singapore is exposed to the current global energy shock due to its high import dependency, although risks are partly mitigated by diversified supply. It relies heavily on natural gas for electricity generation, accounting for >90% of the energy mix, with costs tied to oil prices by commercial contracts.

Singapore electricity generation energy mix

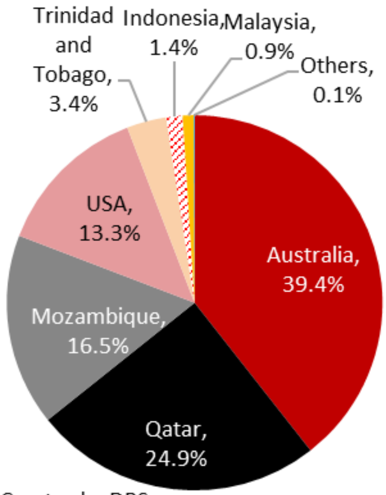


Source: Energy Market Authority, DBS
Note: data as of 1H25.

Singapore's liquified natural gas (LNG) import mix is well distributed. Although Qatar accounted for ~25% share in volume terms as of 2024 (with some news sources citing >40% share in 2025), other key supply sources included Australia, Mozambique, and the US. Pipeline natural gas supplies from Indonesia and Malaysia, which together accounted for 43% of overall natural gas imports in 2025, provide an additional buffer. However, crude oil imports are more exposed to the Middle East, with ~50% in total coming from the UAE, Qatar, and Saudi Arabia in 2024, although the US was also another notable supplier.

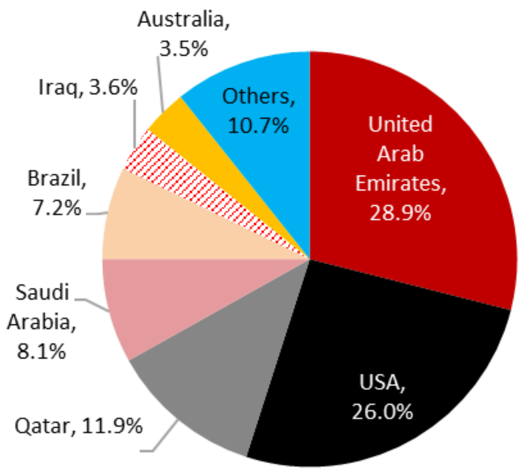
Singapore's direct goods exports exposure to the Middle East is limited, accounting for ~1.5% of the total in 2025. This suggests that a demand shock in the Middle East is unlikely to place significant downside pressure on exports.

Singapore LNG imports by source



Source: UN Comtrade, DBS
Note: Calculations were based on volumes as of 2024.

Singapore crude oil imports by source



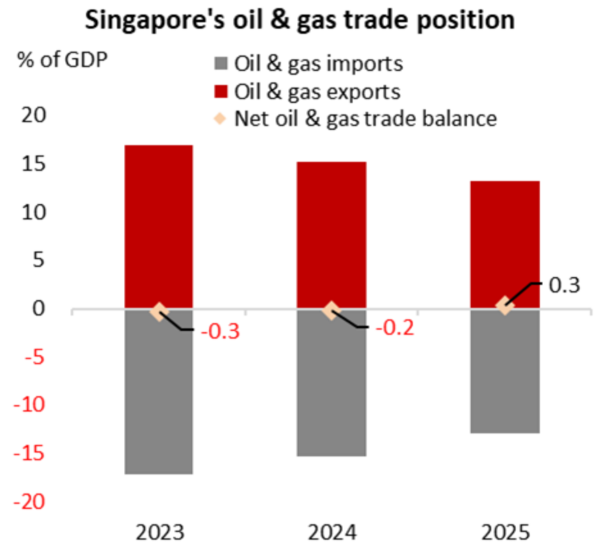
Source: UN Comtrade, DBS
Note: Calculations were based on volumes as of 2024.

Macroeconomic implications

The global energy price shock in an event of a protracted Middle East conflict would likely raise Singapore's inflation more than it would depress economic growth, in our view. If Brent crude oil price remains at around USD100/bbl for the rest of the year, we estimate that Singapore's headline inflation could rise by around 1.5 percentage points (pp), while real GDP growth could be lowered by 0.4 pp *(see 'Macro Insights Weekly: Asia's vulnerability to the Iran crisis' for additional analysis for other Asian economies).*

Singapore's consumers and export-oriented firms will have to brace for higher electricity, transport-fuel, and shipping costs arising from the increase in global energy prices and supply chain disruptions from the Middle East conflict. We estimate around 7+% of the overall CPI basket would likely be directly impacted by higher energy prices. Manufacturers are already facing capacity and supply chain constraints, as reflected in the sharper contraction in the supplier deliveries sub-index of the February manufacturing purchasing managers' index at 49.6 – the lowest in about two years since early 2024. The escalation in geopolitical tensions only heightens the risks of further disruptions that could dampen factory and trade growth.

However, Singapore's energy intensity per unit of GDP has been declining over the years due to improvements in energy efficiency. Considering Singapore's net oil and gas trade position, a potentially higher oil and gas import bill from the price spike could be offset by increased export revenues amid improved refining margins, even though the chemical sector faces disruptions.



Source: CEIC, DBS

Policy implications

Singapore has ample policy space to tackle the external shock from Middle East geopolitical uncertainty. On fiscal policy, we think the government has significant room to deploy targeted cost-of-living support measures, should energy-driven inflation place meaningful pressures on households over the coming months, consistent with its response in past high inflation periods in 2022 and 2023. Fiscal space is supported by its healthy public finances, having budgeted an overall fiscal surplus of 1.0% of GDP in FY2026, distinguishing Singapore from more fiscally constrained ASEAN economies.

On monetary policy, imported price pressures should continue to be dampened by the ongoing appreciation of the Singapore dollar nominal effective exchange rate (SGD NEER), following the Monetary Authority of Singapore (MAS)'s decisions to maintain the policy band's appreciation in January 2026, as well as October and July 2025. However, the recent spike in global energy prices is starting to complicate the MAS's policy bias towards earlier tightening.

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